

Feb march 2017 v12

1-C:

- 1) A basic economic problem arises due to unlimited wants and limited resources, representing scarcity.
- 2) This leads to economic agents having to make choices
- 3) This in turn leads to existence of 'opportunity cost'

This is why, option c becomes correct

2-A:

A- A supply of money that makes all of the functions of money available is vital, since without it trade would be severely hampered or impossible. Hence the key is A

B,C,D: While the absence of these features that include finance from the government, highly qualified entrepreneurs and integrated transport systems would reduce the efficiency of the operation, their impact is likely to be less significant than that of an absence of money

3-B:

We can produce a maximum output of 150 units of good Y and 150 units of good X.

When we are producing a quantity of 110 units of good Y, we will be only able to produce 100 units of good X.

Since the maximum qty that can be produced is 150 units of good X, and currently 100 units are being produced, this means that "50" units of good X are being foregone

4-C:

A: Just because some people objected to the development does not make the leisure center and swimming pool a demerit good, as firstly we do not know if the social costs are greater than private costs and if external costs are generated, and secondly it is most likely that the local government would not agree to any such project that generates external costs, thus making this incorrect.

B: Just because the entry fee is reduced for local users does not make it a merit good, as in-order for the good to be a merit good, it must generate external benefits.

C: It is a private good because there is an entry fee for all users, which is suggestive of the fact that an allocative mechanism named as 'price-mechanism' is used to determine resource allocation. Moreover, this also exhibits characteristics of rivalry, which is when consumption by one individual reduces the amount available for others. They are also excludable as payment by one individual restricts others from enjoying the benefits of the leisure center. Since "price mechanism" plays a key-role in determining resource-allocation, prices act as a rationing mechanism that is when individuals who do not possess sufficient willingness and ability or in other words effective demand are excluded from purchasing the good. This is why this option becomes correct.

D: Just because it is open to everyone does not make it a public good as local government charges an entry fee for this facility. As a result of which, payment by one individual can restrict others from consuming the benefits of the good i.e. it exhibits the characteristics of “excludability.” This is why, this cannot be the answer. In case of public goods, prices can never be charged **due to the “free-rider problem”**

5-C:

A: A fall in the price of a good for example :coke will shift the demand curve for the substitute that is Pepsi to shift to the left, this is because of a positive relationship between the price of one good and the demand of another in case of substitutes.

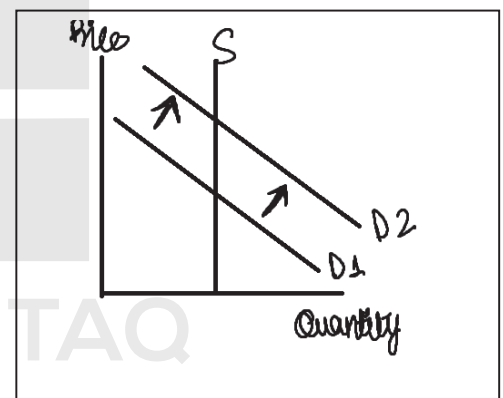
B: Upon a fall in the price of the good, there will be a movement along the demand curve, thus making this incorrect

C: Due to a fall in the price of the good for example :honey, its quantity supplied will decrease. This means that there will be a decrease in, or in other words, a leftward shift in the supply curve of the jointly supplied good, for e.g. beeswax. This is because jointly supplied goods are those that are produced together but for different purposes. This is why, this is correct

D: A fall in the price of the commodity will cause a contraction in the quantity supplied, rather than causing a leftward shift in the supply curve.

6-A:

A: Since there are only seven sites available, the supply is fixed, that is the supply curve should be perfectly-inelastic. And since the private sector companies are bidding for re-development of these sites, it shows that there is an increase in demand by private companies for these limited sites, shown through a rightward shift in the demand curve from D1 to D2. This is why this option, also shown on the right is correct, and the other options that are b, c and d are incorrect.



7-D:

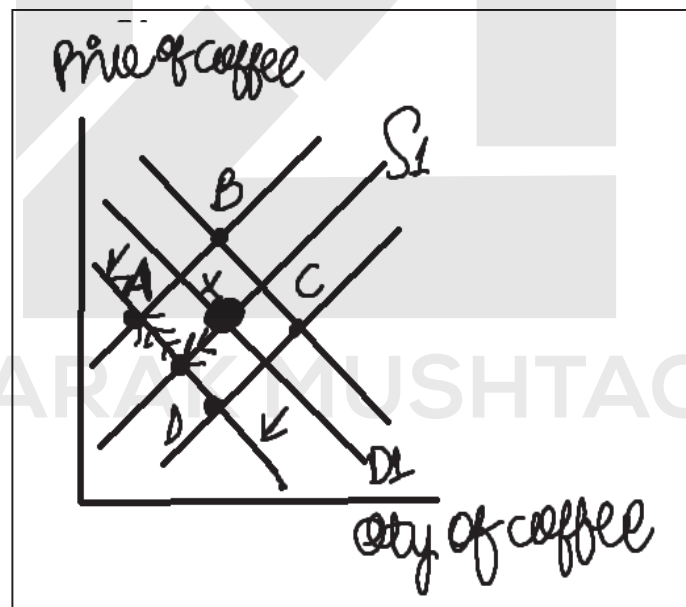
- A- When a percentage increase in price causes demand to fall by a larger percentage, this represents “elastic demand”
- B- This is incorrect as according to the law of demand, a rise in price results in a contraction in qty supplied.
- C- The fact that qty demanded will be the same regardless of the price explains the concept of “perfectly inelastic demand”
- D- In case of unitary demand, a percentage change in price brings an equal percentage change in quantity demanded in the opposite direction, for e.g.; a percentage increase in price by 25% brings a contraction in qty demanded by 25%, leaving Total Revenue unchanged, making this correct.

8-B:

- A- If it becomes easier to store the product, it can be easily stored and released then in times of high demand , thus making supply elastic to changes in demand.
- B- If the output of the product nears full capacity, this means that the output cannot be easily increased without incurring extra fixed cost, thus making the supply inelastic in response to changes in demand.
- C- If the production process becomes less complex, it will take less time to produce and the fact that output can be made available quickly represents that supply will be more elastic.
- D- Again , an increase in mobility of the workers that represents the ease with which workers can be flexibly and easily switched means that supply will be more elastic.

9-A

As the price of tea that is a substitute falls, the demand for coffee that is the good falls ,as more people will have switched to tea, as there is a positive relationship between the price of one good and the demand of another in case of substitutes .This will result in a leftward shift in the demand curve for coffee . However ,imposition of indirect tax on coffee would shift the supply curve leftwards ,therefore the new equilibrium of A would be established from the initial equilibrium of X . This is why only A and not the other options B,C and D cannot be correct , as can be seen below



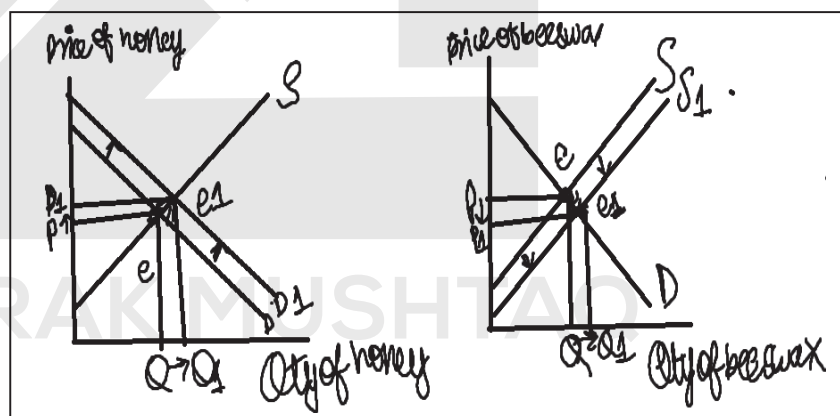
10-A:

- A- A fall in income tax increases the disposable income that is income from which tax is deducted from, which represents the actual purchasing power as this is income that can be spent or saved, that increases consumer confidence, and also demand for houses. Whereas, a rise in building costs would increase cost of production, thereby reducing supply, thus making it the correct one.
- B- Interest rates represent the rate of return or cost of borrowing, a decrease in which reduces the costs of borrowing of individuals, thereby increasing demand, however an increased efficiency in house production would reduce total costs and increase supply, overall this option is incorrect.
- C- A fall in population, that is the number of inhabitants in a particular area, would reduce the demand. Though a rise in price of building land would increase costs, reducing supply, overall this option is incorrect.
- D- A rise in subsidies will reduce cost of production, thereby causing an increase in supply, which we are not interested in finding out. Also, fall in incomes reduces demand, thus making this option incorrect.

11-C:

A rise in the price of jam will increase the demand for honey that is the substitute, since there is a positive relationship between the price of one good and the demand of another in case of substitutes, thus causing a rightward shift in the demand curve for honey. As a result of a rise in willingness of consumers to pay and a shortage, equilibrium price of honey increases, therefore resulting in an extension in quantity-supplied for honey.

Whereas, this will cause an increase in supply of jointly supplied commodity that is beeswax, as a result of surplus, the equilibrium price of beeswax falls. This is why option C is correct, as can be seen on the right. And all other options are incorrect.



12-C:

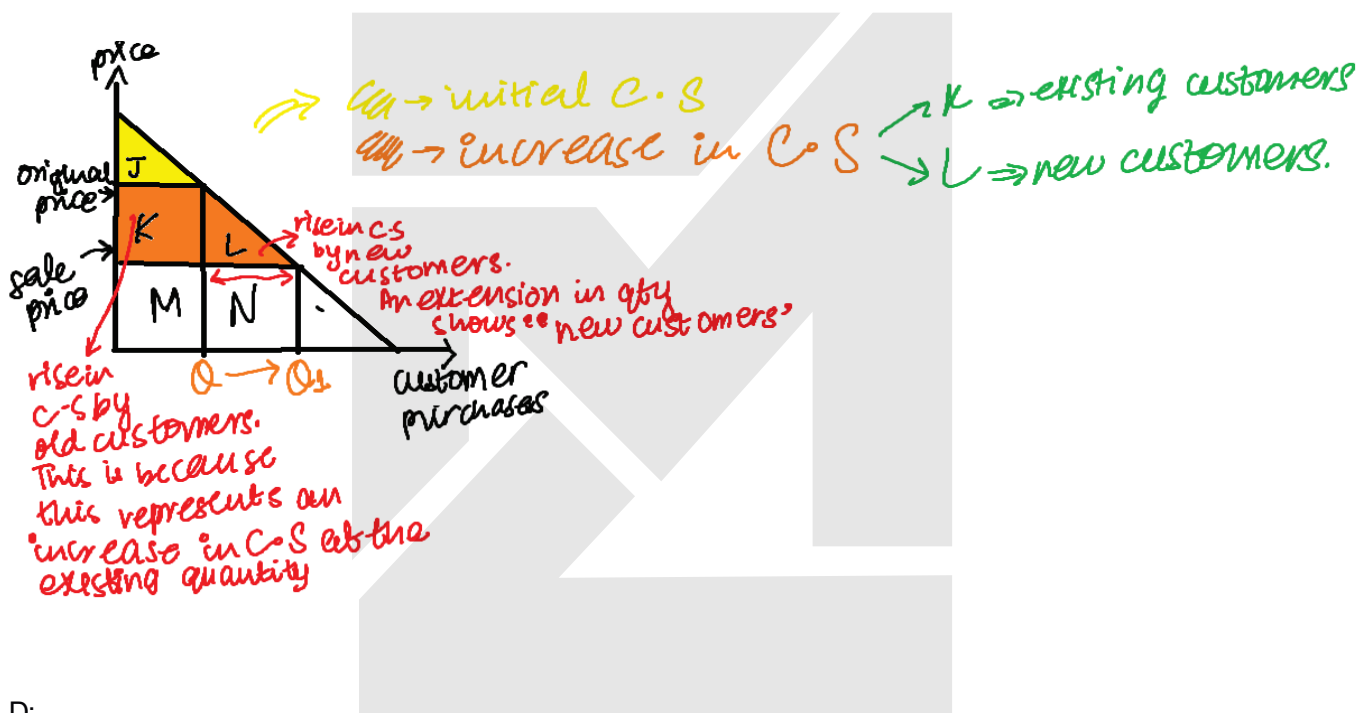
C: The rationing mechanism: When demand outstrips supply, and there is a shortage, rising market prices ration scarce resources, as a result of this quantity demanded contracts, and only those with sufficient willingness and ability or in other words, effective demand is left to purchase the good. This is why option C is correct.

A: The effect of a rising price for prices to act as a rationing mechanism, is not to attract new firms into the market.

B-Rising market prices do provide a signal to the producers to extend supplied, because of a greater incentive of profits. However, this does not lead to prices acting as a rationing mechanism.

D - Redeployment in the workplace is **the moving of an employee from one job or role to another**. The new job or role does not necessarily need to be similar to the original and for example, can have different duties, be in a different location, have different pay and/or be of a different seniority level. The effect of rising prices must not be to signal the need for redeployment of labor for it to act as a rationing mechanism.

13-C:



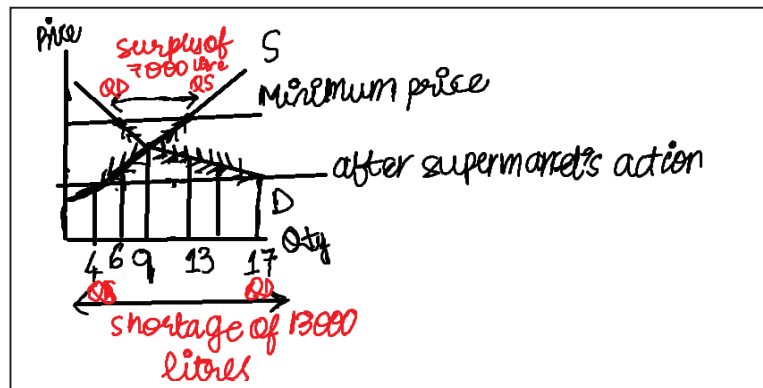
14-D:

D: After supermarket's actions of paying farmers for milk below what was then the market equilibrium price, and their attempts to pass lower prices onto the customers, would encourage an extension of quantity demanded to 17000 liters and quantity supplied by milk producers would contract to 4000 liters. Since quantity demanded is greater than quantity supplied, there will be a shortage of 13000 liters.

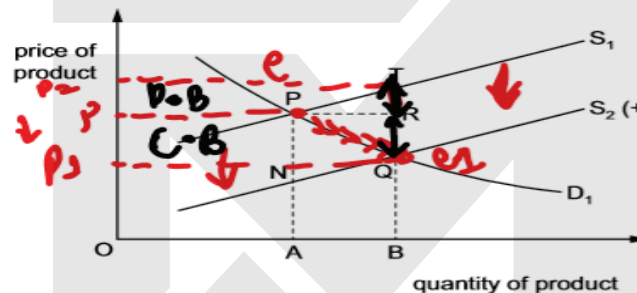
Similarly, after the minimum price legislation to support farmers, quantity supplied would extend to 13000 liters, whereas quantity demanded contracts to 6000 liters. Since quantity supplied is greater than quantity demanded, the resultant surplus will be of 7000 liters, as shown on the right, thus making D the answer.

Therefore, no other option can be the answer.

15-B:



- 15 The initial market for a product is represented by the demand and supply curves D_1 and S_1 respectively. A subsidy is then introduced, represented by the shift of S_1 to S_2 (+ subsidy).



What is the incidence of the subsidy for the consumer and producer?

	consumer	producer
A	PN	NA
B	QR	TR
C	QT	QB
D	TR	QR

* The per unit subsidy is PQ
 * consumer benefit shown through the fall in price is $e-R-Q$
 * The remaining is producer benefit i.e. shown through TR

16-A:

- A- Yes, transfer payments help in redistribution of income, since they are mostly financed from progressive taxes that impact the rich, taking a greater burden of the incomes of the rich and are then provided to the poor and the retired in form of unemployment benefits and pensions, this is why, A becomes the correct option.
- B- No, transfer payment involves government spending rather than leading to revenues being generated.
- C- No, this is government intervention, which means that the principles of the free market economy are not kept.
- D- No, all the citizens can not enjoy equal living standards, as inequalities are certain to exist.

17-A:

ZARAK MUSHTAQ

The government has promised farmers an initial income of 5000 dollars, in case a farmer's total revenue falls from this level, it would intervene to support farmers.

In year 1, the farmer is earning 8000(4000×2), which means the government would not have to intervene.

In year 2, farmer is earning 9000(3×3000), that means no help is required.

In year 3, farmer is earning 8000(2×4000), thus no support will be provided. Similarly, in year 4, farmer is earning 5000(1×5000).

Therefore, the government will have to pay \$0 in total to support farmers over the 4 years, this can be seen in option A, thus making it correct. All other options are incorrect.

18-B:

Nationalization typically occurs when there are reasons to believe that the industry would be better served by being under government ownership and control. This may be due to concerns about market failures, the need for centralized planning, or the desire to prioritize certain societal objectives over pure profit motives.

A - If an industry in the private sector leads to significant inequalities of supply between different areas of the country, nationalization may be considered to ensure more equitable distribution. The government could intervene to ensure that essential goods or services are accessible to all regions, regardless of their profitability.

B - If an industry allows firms outside of the industry to enter easily, it indicates that there is competition and potential for market entry. This suggests that the industry is not heavily dominated by a single entity or "monopolistic". In such a scenario, nationalization may not be justified. **Option B is not likely to represent a strong case for nationalization because the presence of easy entry for firms outside the industry suggests that market competition is possible, making government intervention through nationalization less necessary.**

C - If an industry is unprofitable as a private enterprise but generates significant benefits for society, nationalization could be a viable option. By taking control of the industry, the government can ensure its continued operation for the benefit of the public, even if it does not generate substantial profits.

Option D suggests that the industry in question experiences significant economies of scale, meaning that it becomes more efficient and cost-effective as it grows larger. In simpler terms, as the industry expands and produces more goods or services, it becomes more efficient and can reduce its average production costs.

For example, let's consider the automobile manufacturing industry. As the size of a car manufacturing plant increases, it benefits from economies of scale. Larger plants can take advantage of bulk purchasing, specialized machinery, and streamlined production processes, leading to lower costs per unit of production.

In such a situation, it may not be feasible or practical for multiple firms to compete in the industry. The high initial investments and the benefits gained from operating at a larger scale make it difficult for new firms to enter and effectively compete. As a result, the industry tends to be dominated by a single firm that can achieve the most efficient scale of operation.

This existence of monopoly makes nationalization necessary

19-C:

A rise in the prices of factors of production brings about a rise in costs, causing a "leftward shift in the Aggregate supply curve". Considering this, no other option becomes correct.

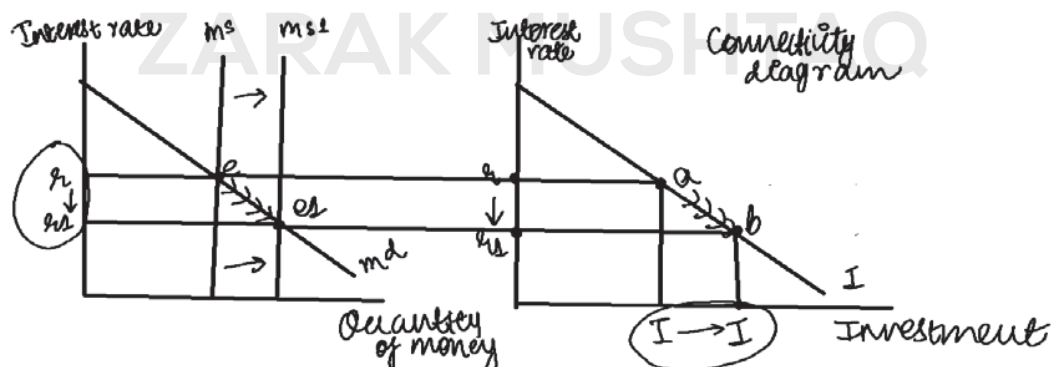
20-C:

We are interested in an option that results in a rightward shift in the Aggregate demand

A - A decrease in real wages would reduce purchasing power and consumer confidence, subsequently leading to a fall in consumption expenditure and in turn Aggregate demand.

B - A rising exchange rate can actually lead to deflationary pressures in an economy, as imports become cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export oriented goods becoming relatively expensive, which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit, which since represents net-leakages from the circular flow, results in a fall in Aggregate demand.

C - An increase in money supply from ms to $ms1$ (through buying back previously issued by the government), will increase the quantity of money in circulation from Q to $Q1$, which will lead to a surplus of money being available with the bank, as a result of which the interest rate may be lowered from ' r ' to ' $r1$ ', in order to increase bank-lending. Because of a decrease in interest rates, the cost of borrowing may decrease, as a result of which firms may increase borrowing to finance capital expenditures and expansion, increasing investment expenditure on production from I to $I1$ (as can be seen in the connectivity diagram in Fig 1), leading to an increase in Aggregate demand, because of injections in the circular flow.



This is why, key C becomes correct.

D : An increase in price level brings a movement along the Aggregate demand curve.

21-A:

A- Weights reflect the importance given by the consumers to each good, since it represents the proportion of income spent on the commodity by the consumer, thus making this correct

B - Levels of prices for each good does not indicate the weight

C – Again, numbers of people buying each good does not indicate weights

D – The rates of change in price of each good or service is reflected through the new price index of the good, that is, original price index of the base year adjusted for changes in prices, which is then used to calculate the weighted price index.

22-D:

Let's calculate imports of goods:

Balance of trade in goods: Exports in goods – Imports in goods

$$-741,462 = 1632639 - x$$

$$x = 2374101$$

Imports in goods is valued at over 1632639, which means option B can be rightly concluded

Let's calculate export of services:

Balance of trade in services = Export in services – import in services.

$$233138 = x - 477428$$

$$x = 710566$$

Exported services is valued at over 477428, which means that this can be concluded as well

C – The value of exported services(710566) was less than the value of exported goods(of 1632639), which means that this can be rightly concluded as well

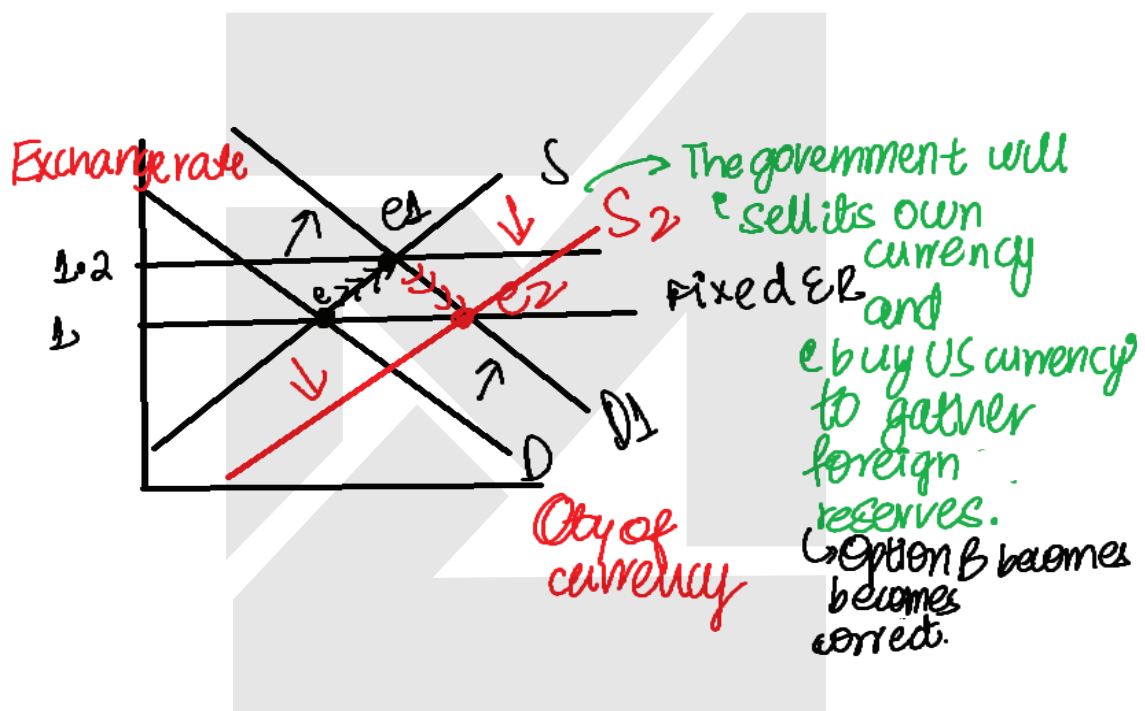
D – Option D can not be concluded since apart from Balance of trade in goods and services, there are other components as well; these include: primary incomes and secondary incomes. This is why, option D will be correct.

23- B:

A – A decrease in interest rates in foreign countries will make the country's interest rates to appear relatively higher, therefore leading to hot money outflows being attracted, as a result of which, there will be an inflow in the financial account, which will lead to improvement in the Balance of payments

- B- A decrease in country's interest rates would lead to hot money outflows as foreign investors call back their investments, and since this represents outflows from the financial account, the Balance of payments will deteriorate, thus making key B correct.
- C- A decrease in the country's national income means that there will be less consumption expenditure even on imported goods, which will reduce outflows from the current account, resulting in an improvement in Balance of payments.
- D- An increase in incomes of foreign countries will lead to higher export revenues, and these inflows in the current account will result in an improvement in the Balance of payments.

24-B:



25-C:

Venezuela's terms of trade increases:

This means that the purchasing power of its exports increases, that is, one unit of export can buy more units of imports.

Japan's terms of trade declined, which means that the import prices have risen by a greater percentage than export prices.

This is why, option C becomes correct

26-B:

- A- This is incorrect as Caribbean countries are allowed a duty-free access to the US, rather than Latin America
- B- This is correct as Latin American businesses will be able to sell more in the US due to them being granted a duty-free access
- C- This is also incorrect since it would have been individuals rather than government who would have borne the burden of duties.
- D- The US is not exporting , instead it is allowing a duty-free access to these countries to its markets

27-C:

- A- Newly established , sunrise industries when shielded from tough competitive pressures from large firms with substantial economies of scale, will have time to grow to a viable size and gain their footing
- B- This represents the strategic industry argument as strategic industries that are known as “national champions” for e.g. : steel are protected because they are important for national security
- C- This is not a valid argument for protectionism, as since protectionism limits the qty of goods that can be imported, this means that the choices available to individuals are restricted, thus making option C correct.
- D- Yes, this is correct as by protecting a declining industry, heavy unemployment is prevented, as individuals have time to find alternative means of unemployment.

28-B:

A and D: Budget surplus and increase in the rates of taxation represents “contractionary fiscal policy” measures being put in effect

- B- Increasing the interest rates represents “deflationary monetary policy”, as when it results in a rise in costs of borrowing, its effect is to decrease investment expenditure, and reduce Aggregate demand ,thus making this correct
- C- Increasing the money supply is an expansionary monetary policy as when this leads to interest rates being lowered, this simply means that the incentive to save decreases, and when savings ratio decreases , individuals increase their consumption expenditure, that leads to a rise in Aggregate demand.

ZARAK MUSHTAQ

29-D:

In order for devaluation to be effective, that is, for it to result in a Balance of Trade surplus or a reduction in deficit , the combined sum of price elasticities of demand of imports and exports must be greater than 1, according to the Marshall Lerner Condition.

- A- The sum is 0.0
- B- The sum is 0.5
- C- The sum is 1.0
- D- The sum is 1.5, thus making it correct.

30-D:

- 30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD_2 .

With which AS curve would this policy be least effective?

